

Dear Investor,

The performance last year was disappointing, especially considering that our portfolio is built to outperform over the economic cycle with particular focus on delivering value in the periods of negative market performance. Unfortunately, last year's market drop was most pronounced in smaller and cheaper companies which are overweight in our fund relative to the benchmark.

We own some large caps like **Apple (AAPL)** and **Facebook (FB)**, but the median market cap for our portfolio is \$9.5 billion. Our portfolio is equal weighted, but larger companies have higher weight in the index. Despite perceived diversification of S&P 500, a full third of it is invested in just 21 companies with an average market cap of close to \$400 billion.

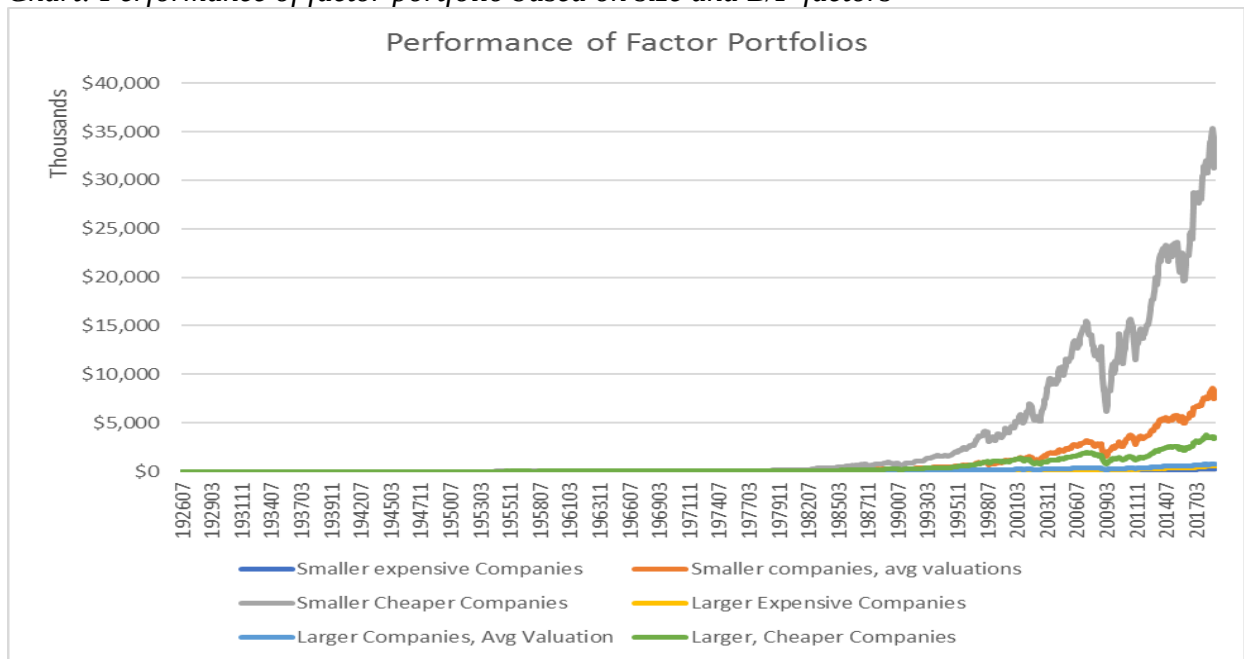
Chart: 2018 U.S. Market performance by factor



Source: Bloomberg

The reason we concentrate on smaller and cheaper companies is that historically they delivered better returns than the index. According to the Fama-French factor model, since 1927, investing in this portion of the market generated on average 4.9% higher return per annum than larger more expensive segments. This 4.9% per annum makes a big difference: \$100 invested in 1927 in a portfolio of smaller, cheaper companies would have compounded to over \$31 million in value, while the same investment in larger more expensive companies would have grown to “only” \$549 thousand.

Chart: Performance of factor portfolio based on size and B/P factors



Source: Fama/French Factor portfolios from dartmouth.edu; Firebird U.S. Value Advisors

Interestingly enough, since the inception of our strategy in October 2012 larger, more expensive companies outperformed smaller, cheaper ones by more than 3% per annum. This created a headwind, instead of the expected tailwind, for the fund's performance.

The outperformance of larger, more expensive companies is unusual but it has happened in roughly 12% of the six year periods since 1927. We have been unfortunate to launch the fund in one of these rare periods, but each cloud has a silver lining. **Following these periods of underperformance, smaller cheaper stocks have outperformed larger more expensive ones by 12% per annum over the next five years.**

In his biography "Raising the Bar," Clif Bar founder Gary Erickson introduced me to the rock climbing concept of "belaying." Climbers use the belaying technique to secure themselves to the rock surface so that if they fall, they fall just a few feet. Despite knowing that the rope is there for protection, many beginner climbers get paralyzed by fear right before an overhang or a hard move. I see a lot of parallels between rock climbing and investing.

A market drop, like the one we just experienced, can paralyze you into inaction or even worse force you out of the market completely. Fortunately, as fundamental investors, we can "belay" to the portfolio company earnings and business models. We take comfort in the quality of the underlying businesses and the fact that the management teams have shepherded the companies through multiple economic cycles. Past experience allows them to use downturns to enhance their competitive position and create the baseline that will take the business and profits to new highs.

While all thirty of our holdings have declined in market value in the last quarter, it does not mean that their intrinsic value fell. On the contrary, our companies have generated 1.6% more

operating cash flow in the twelve months ending Q3 2018 than they did in the twelve months ending Q2 2018. Some of the strongest operating performers, like **Shutterfly (SFLY)** and **Amerisource Bergen (ABC)**, were the ones that fell the most in the quarter.

We do not take large drops in market price lightly and take time to reassess the investment thesis to make sure that the reasons we invested in the company in the first place still hold. If the thesis does not hold, we sell the company and move on, but if it remains true, we use the opportunity to buy more of a high-quality company at a lower price. Over time, adding to core positions when the stocks were down and trimming them on the way up generated 1.4% per annum of excess returns to the fund. We used the December decline in prices to increase the size of our positions in a number of companies at what we believe to be very attractive valuations.

Portfolio Update

Since October 2018, we sold two companies – **LSC Communications (LKSD)** and **Chipotle (CMG)** and added three new ones to the portfolio.

LSC Communications has been in our portfolio since its spin-off from RR Donnelley in September 2016. We were attracted by the company's high free cash flow yield and competitive advantage that came from being one of the largest players in the \$75 billion U.S. printing industry. We also believed that management's strategy of consolidating smaller players and extracting operating synergies made a lot of sense.

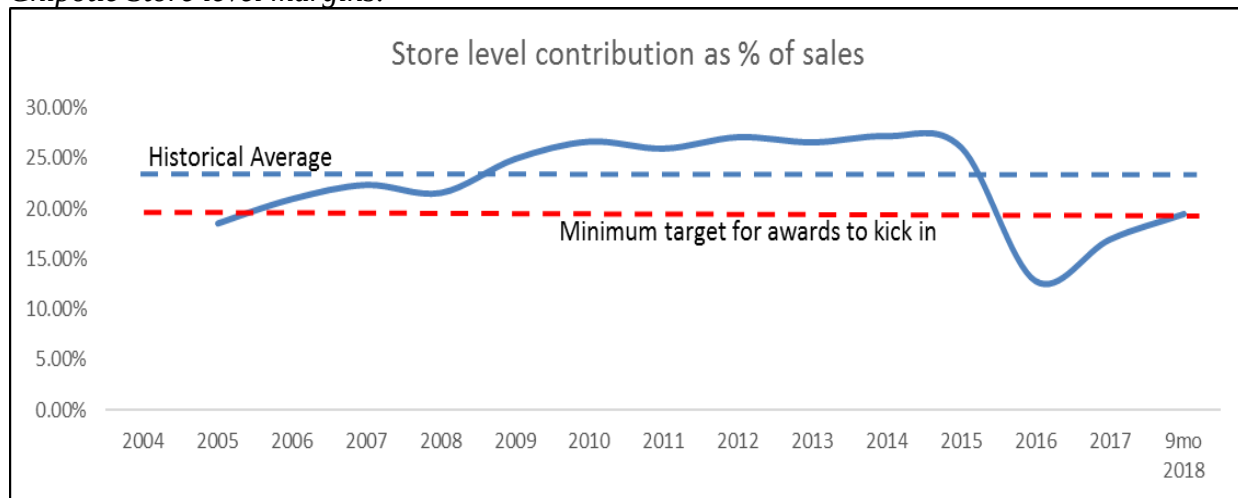
LSC management proved effective at buying smaller companies, but unfortunately they were less successful at delivering synergies. Throughout our period of ownership, LSC sales grew, thanks to about a dozen acquisitions, but operating cash flow declined by more than half as the company struggled with integration.

In October, LSC announced a merger with Quad Graphics (QUAD) – the largest printing company in the U.S. pursuing a similar roll-up strategy. Unlike LSC Communications, Quad was more effective in integrating their acquisitions and enjoys a much higher operating margin than our portfolio company. While we were initially excited about the combination and receiving QUAD shares, a closer look at the acquiring company's capital allocation caused us to change our mind. In addition to buying printing companies, QUAD has also been spending excess cash flows on buying firms in advertising and healthcare. *Since we did not think this was a good use of shareholder capital, we decided to cut our losses and move on.*

Chipotle was sold at the beginning of January to make way for another company that we thought offered a much better risk/reward. We invested in Chipotle in February 2017 with the idea that the company will be able to recover sales and profitability following the 2015 E.coli outbreak that led to same-store sales falling by over 20%.

The thesis largely played out with same-store sales growing by 7% since the 2016 lows and store level margins recovering from 13% to almost 20%. We wrote in our Q1 letter that 20% is the magic number for Chipotle's new CEO, Brian Niccol, to hit his incentive targets.

Chipotle Store level margins:



Source: Chipotle Financials, Firebird U.S. Value Advisors

Mr. Niccol's tenure as CEO of Chipotle has been long on rhetoric, but short on actions (aside from moving company headquarters from Denver to his home in California). While the margins have improved, it is due to a natural recovery in demand following the food safety scandal rather than tangible steps taken by new management.

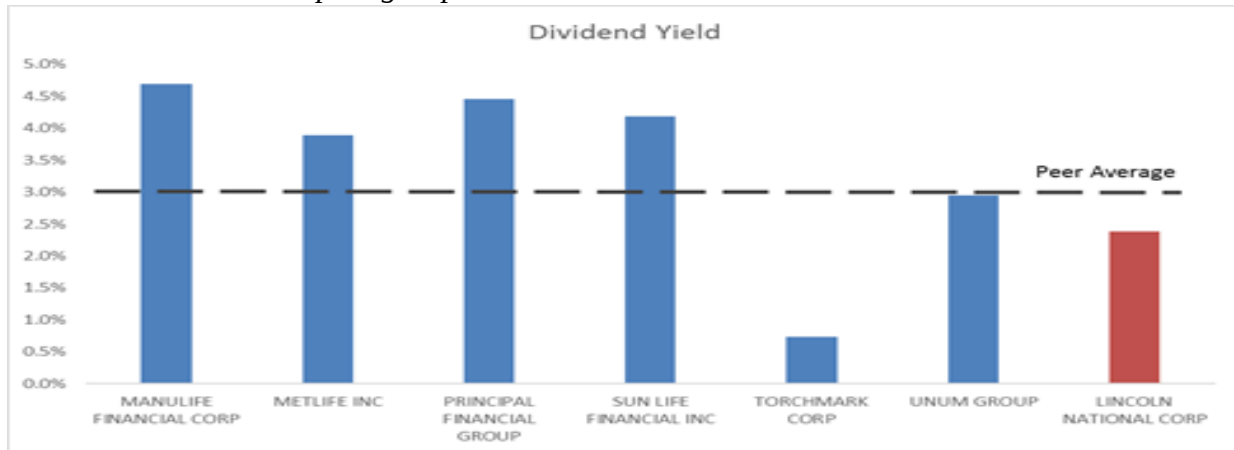
We believe that Chipotle remains a strong brand with an attractive franchise, but thanks to a 60% increase in price since the announcement of the CEO change, the risk/reward is no longer as compelling as it was when the position was initiated. *Our IRR on Chipotle over a 23-month holding period was 14% , including 4% from active management of the position.*

One of the new companies in the fund is **Lincoln National Corporation (LNC)**

Lincoln National is a financial services company offering life insurance, annuities, and group protection through a network of third-party distributors. Each business that LNC is involved in is competitive which is reflected in LNC's ROE ranging between 7 and 12%. Aside from an A+ rating from A.M Best, an insurance focused credit rating agency, LNC does not have a special advantage over other participants in the space.

Where it does have an advantage is in capital allocation – LNC is choosing to pay a smaller dividend and spend the rest of the free cash flows on share buybacks. The company bought back roughly 30% of its shares outstanding since 2010.

LNC Dividend Yield vs. peer group



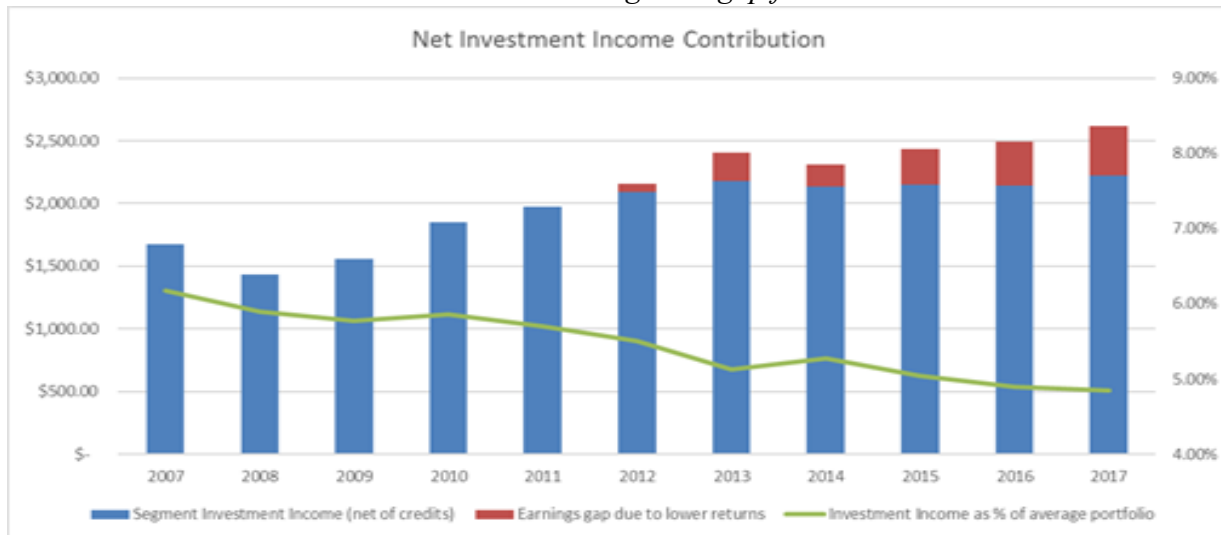
Source: Bloomberg, Firebird U.S. Value Advisors

Most companies in the life insurance/long-term care segment trade at a single-digit P/E and P/B below 1.0x due to concerns about long-term care cost inflation and the impact of market volatility on investment profits. Our research indicates that both of these concerns are likely exaggerated.

Insurance pricing usually adjusts to a gradual increase in the cost of care and costs gets passed on to customers. On the investment side, while market volatility can have a negative short-term impact on the company's results, increases in interest rates are generally positive for Lincoln National.

Declines in fixed income interest rates have caused investment income to drop from a historical average 5.5% of assets to the current 4.8% creating a \$400m gap in net income. With interest rates reverting to historical levels, LNC should be able to reprice its assets creating an earnings tailwind for the company. Non-zero interest rates also make fixed annuities a more reasonable investment option for retirees looking to earn extra income without taking principal risk.

LNC's investment income contribution to earnings and gap from lower interest rates



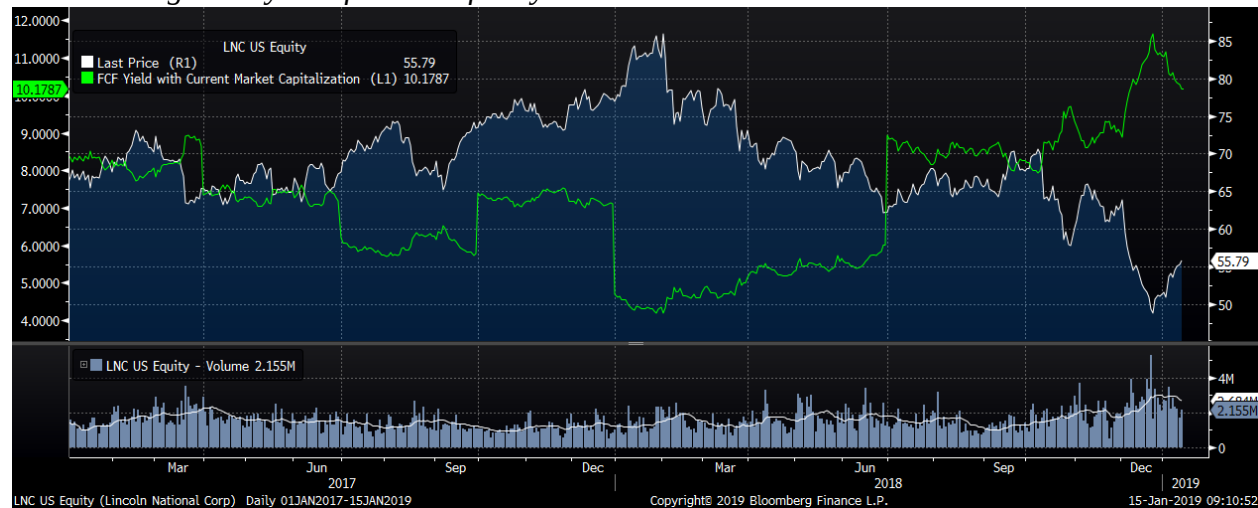
Source: Company Financials, Firebird U.S. Value Advisors

The company should also benefit from baby boomers looking for stable sources of income (good for annuities) and higher employment levels (good for group coverage business).

LNC has a natural growth profile of 4-6% per annum which may accelerate given the tailwinds and the expected positive impact from the recent acquisition of Liberty Life, which doubled Lincoln National's Group Protection segment.

Thanks to a stagnating share price and rising earnings, LNC is now trading at a trailing free cash flow yield of 10%, which is on the high end of the two-year trailing range.

LNC Trading history and free cash flow yield

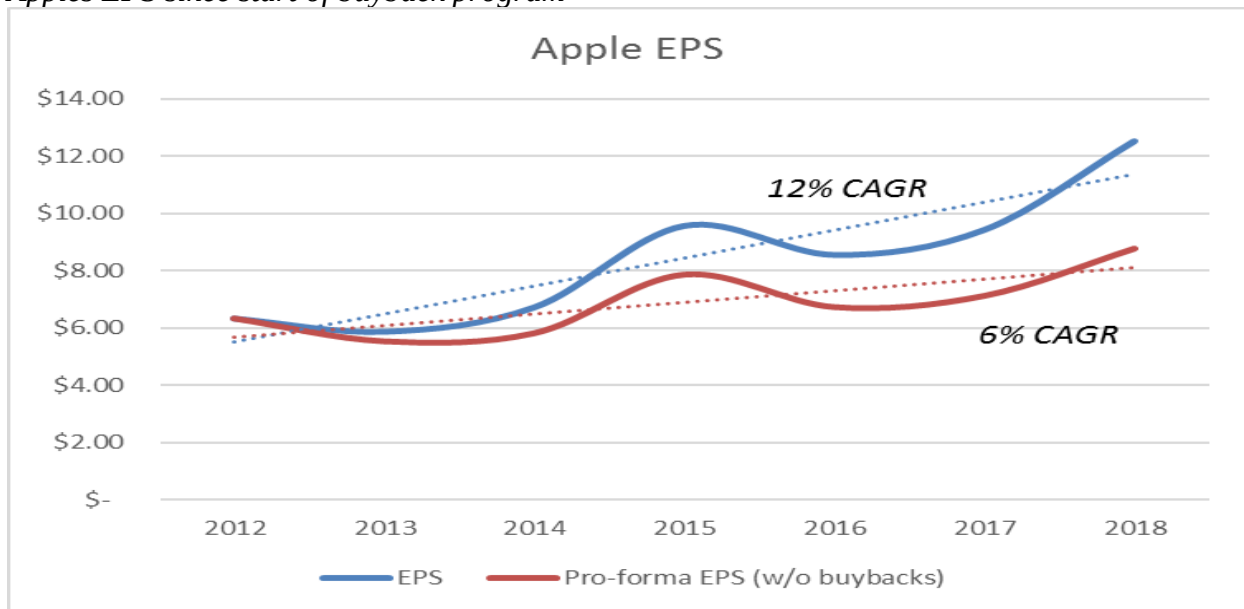


We expect investment in LNC to generate long-term IRR of 16.1%

Another company in our portfolio that gets a lot of headlines is **Apple (AAPL)** which fell by more than 30% from its recent highs. While the press could not find enough great things to say as the company was marching to become the first to reach a trillion-dollar valuation, it is just as hard to find any positive articles about Apple now that it is trading well off its highs. We normally ignore the noise, but the headline that caught my eye at the end of last year was “Apple lost \$11 billion buying back its stock.” These types of articles appear with regularity about any company whose valuation fell after it spent a lot of money on buying back its shares.

While not every company should be buying back shares, the \$300 billion that Apple spent on buying its shares since 2012 generated much more value than if it had stayed on the balance sheet or had been spent on misguided acquisitions. Thanks to the buybacks, Apple's earnings per share have been growing at 12% per annum vs. 6% growth without the buybacks. The \$300 billion was invested at an implied yield of anywhere between 5 and 9% which combined with 6% net income growth should yield a double-digit return on investment.

Apples EPS since start of buyback program

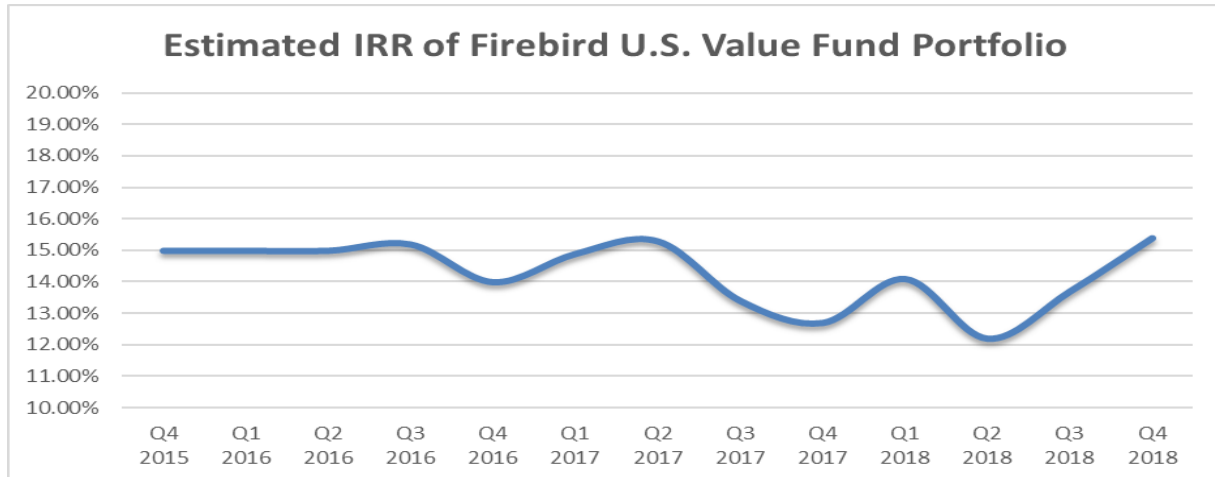


Source: Bloomberg, Firebird U.S. Value Advisors

Aside from the positive impact on EPS, it is hard to believe that the market would put the same value on Apple as it does today if per-share earnings were growing at half the current rate and the balance sheet had over \$400 billion of net cash that was not regularly distributed to shareholders.

As of mid-January 2019, for each \$1 million we have invested in the fund, we own a collection of assets that generated \$150 thousand of cash flows over the last 12 months¹. \$60 thousand or 40% of this money was spent on maintenance and supporting growth in businesses with an average Return on Invested Capital of 13.4%. Most of the remaining cash was paid out to shareholders either in dividends or share buybacks, representing a 7.5% yield to investors. **Our estimated IRR on the portfolio is 15.4%.** The estimated IRR of the portfolio is at the highest level since 2015 and is a good guide for the relative value of our portfolio.

¹ Portfolio data as of 1/15/2019



You will find the current positions, expected IRR, and a short rationale behind each investment attached to this letter.

Market Update

We start each year with a question of whether U.S. equities are an attractive investment relative to other options available to investors. Unlike market commentators that concentrate on short term earnings trends and CAPE ratios, we prefer to look at the long term cash flow yield of the index.

Our methodology for calculating expected market returns is based on average revenue and free cash flow growth through the economic cycle. While we do not think this method is good at predicting short term market returns, it is pretty effective at approximating 10-yr returns for the index.

	Predicted 11 yr IRR	10yr Gov't yield	Difference	Actual 3 yr return	SPX Total Return	
					Actual 5 yr return	Actual 10yr return
Jan-05	4.30%	4.22%	0.08%	8.63%	0.4%	7.7%
Jan-06	6.00%	4.39%	1.61%	-8.33%	2.3%	7.3%
Jan-07	6.20%	4.70%	1.50%	-5.59%	-0.2%	6.9%
Jan-08	7.40%	4.02%	3.38%	-2.85%	1.7%	8.5%
Jan-09	14.40%	2.21%	12.19%	14.12%	17.9%	13.1%
Jan-10	9.10%	3.84%	5.26%	10.85%	15.4%	
Jan-11	8.40%	3.29%	5.11%	16.14%	12.5%	
Jan-12	10.30%	1.88%	8.42%	20.34%	14.6%	
Jan-13	10.00%	1.76%	8.24%	15.11%	15.8%	
Jan-14	7.10%	3.03%	4.07%	8.85%	8.5%	
Jan-15	6.10%	2.17%	3.93%	11.41%		
Jan-16	6.50%	2.27%	4.23%	9.24%		
Jan-17	6.40%	2.45%	3.95%			
Jan-18	4.80%	2.58%	2.22%			
Jan-19	7.40%	2.68%	4.72%			

Source: Bloomberg, Firebird U.S. Value Advisors

At the beginning of 2019, we estimate the predicted IRR for the S&P 500 is 7.4% which is the highest level since 2014.



We also look at the relationship of expected equity returns to the 10-year U.S treasury rate which represents a risk-free option. The current difference of 4.7% between the risk-free rate and the expected market return is the highest since 2013 and is a good indication of the attractiveness of equities relative to other options in the market.

Operational Update

A core part of our investment process is understanding the competitive advantage that helps our portfolio companies deliver strong profitability and cash flows. Once we identify the competitive advantage, we spend the time to understand how sustainable it is and what the company is doing to maintain or enhance it. In the process, we realized that this analysis represents our competitive advantage and we have been working on enhancing it through deep dives into business models and conversations with business founders. This exercise has already yielded some fascinating insights which we are hoping to share with you in future newsletters.

Firebird U.S. Value Fund launched on July 14, 2014, with \$5.7 million under management. The vast majority of the funds are from the fund's principals and Firebird employees. We entered Q1 2019 with over \$12 million in assets under management.

If you think you know anyone who could benefit from our long-term cash flow focused investment approach, please ask them to contact Ellen D'Aleo (edaleo@fbird.com).

As always, we welcome your questions or comments.

Sincerely,

Firebird Value Advisors LLC

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